

tain Dew. In energy drinks, though, PepsiCo's Sting has built a sizeable lead over its rival's new offering Charged (more on that later). In the non-carbonated space, Coke's Minute Maid and PepsiCo's Tropicana and Slice slug it out against Dabur's Real, Parle Agro's Frooti, and ITC's B Natural, among others. Bottom line: In India's carbonated drinks market, Coca-Cola is the clear market leader, with almost double the market share of nearest rival PepsiCo.

To build on this, Ray, who loves playing with figures, says the top team decided to do something simple: "Can we double our consumer base in the next three to five years, is what we asked ourselves. That road map was laid out in early 2021." At that time, the company also had milk-based drinks such as Vio and water-soluble powders such as Aquarius Glucocharge and Minute Maid Vitingo in its portfolio. But a changing environment meant pivoting to a "core strategy", with the objective being to do a few things but do them really well. Such a strategy would have, for instance, no place for dairy or, for that matter, water-soluble powders. In addition, Ray's ABCDE model—short for availability, building relevance, Coke, digital and enablers—entailed a plan to increase the number of occasions when Coca-Cola's beverages are consumed, offer more variants, and put a huge focus on digital and sustainability. Over the past year, the company has launched three variants—Fanta Apple Delite, Maaza Aam Panna, Limca Sportz—as well as Charged.

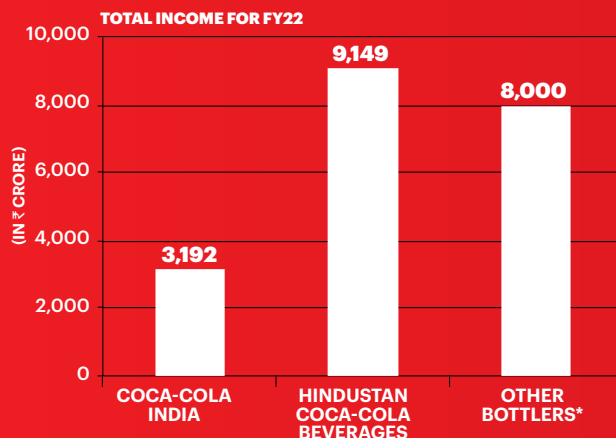
"It is certainly a better strategy to extend established brands into categories that can benefit from the presence of the mother brand," says K.S. Narayanan, a food and beverage industry veteran. To him, getting into a category like dairy in India is not prudent for Coca-Cola. "Establishing a back-end supply chain from milk collection centres to chilling, processing and value addition is a challenge. It takes significant time and effort to build scale," he says.

The strategy appears to have paid off. For the April-June quarter of 2022, Coca-Cola India saw its best performance in terms of volume, delivering one billion incremental transactions, largely thanks to a surge in numbers of Thums Up and Sprite.

Focussing on the core for three years will be followed by a close look at what can be done in adjacencies. There's no new launch planned for the first half of 2023. "We will need to time it well," reasons Ray. The company, he says, is clear on what not to do. "There is no question of doing a *lassi* or a *chaas*, since we cannot offer a differentiated product, nor do we have a cost advantage," he explains. Ray also wants to take the company's retail presence from 2.2 million outlets

THE CLINK OF BOTTLERS

Decoding Coca-Cola's empire in India



NOTE: HINDUSTAN-COCA-COLA BEVERAGES (HCCB) IS THE BOTTLING ARM OF COCA-COLA INDIA; INCLUDING HCCB, COCA-COLA INDIA WORKS WITH 14 BOTTLERS

*ACCORDING TO INDUSTRY TRACKERS

SOURCE ROC, TOFLER, INDUSTRY

SIPPING ON SUCC



BRAND MAAZA

VARIANT MAAZA
AAM PANNA

Coca-Cola launched a new variant of Maaza, playing on the brand value of its product that is synonymous with mangoes in India; it is a drink targeted at the Indian summer to increase its customer base further

60 PER CENT